

negative return. Taxes can be levied at various points in a product. And some products give you a tax break if you invest in them.

The most well-known tax break is Section 80C, which gives you a break of up to Rs 1.5 lakhs (in 2018) if you invest in the eligible products. You get this break if you contribute to your PF, PPF, life insurance premiums, ELSS mutual funds, NPS, special five-year FDs and a bunch of other expenses.

The ideal time to begin your Rs 1.5-lakh investment is from the beginning of the financial year, and not in February or March just before the year closes. It is a good idea to use your Rs 1.5-lakh investment in your PF (NPS, if you don't have PF), PPF, your term insurance premium and ELSS funds.

You also need to know if the return is taxed. Is there a tax to be paid on the interest, dividend or profit of that particular product? And finally, is there a tax on exit. The interest on your bank FD, for example, will get added to your income and be taxed at your slab rate. The dividend from your debt mutual fund pays a dividend distribution tax of 38.83 per cent – you don't have to pay it; the fund pays it before it declares the NAV.

Then there are two kinds of 'capital gains' that you need to be aware of. Short-term and long-term capital gains. In a debt fund, for example, if you sell before three years of holding the fund, you have to pay a short-term capital gain tax on the profit. This profit gets added to your income and you pay tax at slab rate on it. If you hold for three or more years, your profit becomes long-term and you pay a flat tax of 20.8 per cent.

Equity used to enjoy a special place in the taxman's heart and holding equity for one year made it a 'long-term' product and it became tax-free. However, that has changed from 1 April 2018 and long-term capital gains from equity are now taxed at 10 per cent.

If you redeem an equity fund (that you should not, but if you do) within a year of buying, and you make a profit, you pay a short-term capital gains tax of 15.6 per cent on the profit. Hold for 366 days and your capital gain used to be zero till January 2018.

But from 1 April 2018, you will pay long-term capital gains tax of 10.4 per cent, on equity and equity-linked products like mutual funds, for profits in excess of Rs 1 lakh.